# REPORT ON TITLE

Project Sable — Sable House, 40 Deansgate, Manchester M3 2AY
Prepared for Thornbury Properties Limited | Matter ref WC-00118 | 17 October 2025 | STRICTLY PRIVATE & CONFIDENTIAL

| | |
|---|---|
| Property | The freehold, Sable House, 40 Deansgate, Manchester M3 2AY |
| Title number | GM921044 (freehold, absolute title) |
| Seller | Ardent Property Holdings Limited (07412668) |
| Purchase price | £24,750,000 (exclusive of VAT; TOGC) |
| Passing rent | £1,683,000 per annum (four tenancies) |
| Net initial yield | approx. 6.4% (after 6.8% purchaser's costs) |
| Anticipated completion | 21 November 2025 |

## 1. Executive summary

We have investigated title to the Property and reviewed the contract documentation, replies to enquiries, the occupational leases and the search results. Subject to the matters flagged in section 8 (Matters requiring your attention) and satisfactory resolution of the two outstanding pre-completion items, title is good and marketable and we are able to recommend that you proceed to exchange and completion on the terms reported below.

The principal points for your decision are: (i) the seller's bank charge must be discharged on or before completion and we will hold the customary solicitor's undertaking; (ii) the tenant break right in favour of Northbridge Software Ltd (floors 2–3) exercisable on 29 September 2026, which represents approximately 28.9% of the income; and (iii) the outstanding service charge dispute with the first-floor tenant. None of these is, in our view, a reason not to proceed, but each is reflected in the recommendations.

## 2. Title

The Property is registered with absolute freehold title under title number GM921044. We have reviewed official copies dated 18 August 2025. The registered proprietor is Ardent Property Holdings Limited, which accords with the seller named in the contract.

The proprietorship register contains a single restriction (standard form P) requiring a certificate of compliance on any disposition by the proprietor of the registered charge dated 3 June 2019 in favour of Clydesford Bank plc. That charge secures the seller's borrowing and must be discharged on completion (see section 7).

The charges register records: (a) the 2019 legal charge referred to above; (b) a deed of easement dated 14 May 2007 granting rights of support and shared use of the rear service yard, which benefits and burdens the Property and is acceptable; and (c) the four occupational leases noted against the title. We are satisfied that the rights granted are adequate for the continued use and management of the building.

## 3. The contract

The contract incorporates the Standard Commercial Property Conditions (Third Edition — 2018 Revision) as varied. The seller sells with full title guarantee. Following negotiation, the contractual completion period has been agreed at 15 working days after exchange (reduced from our proposed 20) and the deposit will

be held by the seller's solicitors as agent rather than as stakeholder. We have advised that holding the deposit as agent carries a marginally higher counterparty risk; given the seller's standing and that the deposit is funded from the purchase monies, we consider the risk acceptable, but draw it to your attention.

## 4. The tenancies

The Property is let under four occupational leases producing an aggregate passing rent of £1,683,000 per annum, with a rent-weighted unexpired term (WAULT) of approximately 7.4 years to expiry (6.0 years to the Northbridge break). The leases are in substantially standard institutional form and are on full repairing and insuring terms, with service charge recovery through a conventional schedule.

| Demise | Tenant | Rent (£ pa) | % income | Expiry / break |
|---|---|---|---|---|
| Floors 4–6 | Castellan Wealth Management LLP | 742,000 | 44.1% | 24.03.2034 |
| Floors 2–3 | Northbridge Software Ltd | 486,000 | 28.9% | 28.09.2031 (break 29.09.2026) |
| First floor | Pennine Health Partners Ltd | 318,000 | 18.9% | 23.06.2032 |
| Ground (retail) | Aurora Coffee Co. Ltd | 137,000 | 8.1% | 24.12.2030 |
| Total | | 1,683,000 | 100.0% | WAULT ~7.4 yrs |

A rent deposit of £121,500 (equivalent to three months' rent plus VAT) is held in respect of Northbridge Software Ltd under a rent deposit deed dated 29 September 2021. That deposit must be assigned to you on completion by deed; the seller's solicitors have agreed to provide the deed of assignment, which remains outstanding.

## 5. Searches

We have received and reviewed the following searches, all of which are satisfactory: a local authority search (CON29 and LLC1); a drainage and water search; an environmental desktop report; a chancel repair screening (no liability indicated); and a Highways search confirming that Deansgate and the adopted footways are publicly maintainable. The local search reveals no adverse entries, no road or planning proposals affecting the Property and no outstanding enforcement or financial charges.

The environmental report identifies the historic industrial use of neighbouring land but concludes that the risk of contamination affecting the Property is low. We do not consider that environmental insurance is necessary, but you may wish to take a commercial view.

## 6. Planning and physical matters

The Property has an established office use (Use Class E) with ancillary ground-floor retail. Building regulation completion certificates have been supplied for the 2019 reception refurbishment. The asbestos management survey dated March 2022 identifies asbestos-containing materials in the basement plant room which are managed in situ under an asbestos management plan; you should ensure the plan is maintained following completion. You are obtaining a separate building survey and we have not advised on the physical condition of the Property.

## 7. VAT and SDLT

The seller has opted to tax the Property with effect from 1 April 2014. The sale is structured as a transfer of a going concern, so that no VAT should be chargeable on the price, provided that before completion you (i) are registered for VAT, (ii) make and notify your own option to tax with effect from no later than completion, and (iii) confirm in writing that you have done so. We will deal with the necessary notifications. SDLT of £1,227,000 will be payable and the SDLT return must be filed and the tax paid within 14 days of completion.

## 8. Matters requiring your attention / recommendations

1. **Discharge of seller's charge.** We will not complete until we hold an acceptable solicitor's undertaking to discharge the Clydesford Bank charge and to provide the DS1/e-DS1 promptly thereafter.
2. **Rent deposit deed.** The deed of assignment of the Northbridge rent deposit (£121,500) must be completed in your favour on completion.
3. **Northbridge break right.** Approximately 28.9% of the income is at risk at the September 2026 break. You have confirmed this is reflected in your business plan and pricing.
4. **First-floor service charge query.** An item of approximately £18,400 relating to the 2024 lift refurbishment is in dispute. We recommend a retention or seller indemnity; the seller has offered a £20,000 retention pending resolution, which we consider adequate.
5. **VAT/TOGC conditions.** The TOGC treatment depends on your satisfying the conditions in section 7 before completion.

## 9. Conclusion

Subject to satisfactory completion of the outstanding items above, title to the Property is good and marketable and we recommend that you proceed. Please confirm your instructions to exchange and

provide the deposit funds and your TOGC confirmations in good time.

**Whitfield Carter LLP**

James Osei, Senior Associate (for and on behalf of the firm)